KRJP Cross Border Bi-weekly Sync

22 Aug 2025

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KRJP Bi-weekly agenda

1. **Overall Performance**
   1a. PnL performance
   1b. OKR performance
   1c. KRJP LFF ADO and LFF% Monthly Actuals

2. **For Updates**
   2a. Commercial - JP New sellers IB/OB Budget Proposal (Haenle)
   2b. Commercial - KR New Sellers Overview & IB/OB Budget Proposal (Jeha)
   2c. Commercial - KRJP Investment in Ads & AMS (Faye & Hongkeun)
   2d. Commercial - VN LFF Subsidy Program Target and RR (Joanne)
   2e. Operational - LFF OOS and Plans (Joanne)
   2f. Operational - License Exclusivity (Vs .TT) in all markets (Joanne)

Follow-Up

#	Topic	Action Items	PIC	Deadline	Status
1	Slower growth	1) UST seller spending : spending%, take-rate%, TR%, PC2% 2) Campaign participation : to have the same format/ definition as CN 3) New UST/ST sellers in pipeline	Songie Hongkeun Jason	Aug 1	Done
2	LFF	To lower OOS - consider having NC team directly comms to non-RVP but OOS prone top sellers and replenishment quantity and coverage day waive (like Cosrx) - Identify which sellers are highly prone to OOS and which sellers NC team will monitor more vigiliantly and push separately for OOS and share replenishment SKU list/qty	Joanne	Aug 14	Done
3	LFF	Track exclusivity for license (compare with TT) all markets	Joanne	Aug 22	Done
4	LFF	Revisit VN 3PF (new seller) license/line haul subsidy target 1.3/4k	Joanne	Aug 14	Done

Follow-Up

#	Topic	Action Items	PIC	Deadline	Status
5	JP New sellers	Look at OB leads and bpo requirement and productivity tool then adjust down inbound budget; check with SG/MY local sellers inbound team on what metric they are using and the criteria (eg. CPA xx, CPL xx, or other)	Haenle Hongkeun	Aug 14	Done
6	KR New Sellers	Start from KR new seller overview & IB/OB Budget Proposal	Jeha Hongkeun	Aug 14	Done

1a. Topline

KRJP Aug Topline : KRJP rebounding on Topline (ADO/ADG RR 102%/103%) with Aug MoM +9% vs. Jul, but PnL lagging at 86% RR due to PRM overspend and SLS profit drop

Data 8/1 - 8/19

		Aug 2024	Jul 2025	Aug 2025					YTD, YoY % Gap vs. PLT (%p)	Sep 2025
						Projected				
		Y-1 actual	M-1 Actual	Projected	Target	RR	MoM	YoY		Target
KRCB	KR ADO	54,364	56,045	61,276	60,221	102%	9%	13%	-10%	65,441
	KR ADGMV($)	947,321	1,123,405	1,222,766	1,189,554	103%	9%	29%	-7%	1,281,074
	KR ADO% to CB	2.01%	1.85%	2.06%	2.03%	102%	11%	2%		2.14%
	KR ADGMV(%)	4.76%	4.82%	5.32%	5.18%	103%	10%	12%		5.46%
	ABS($)	$17.43	$20.04	$19.96	$19.75	101%	0%	15%		$19.58
JPCB	JP ADO	5,484	11,581	12,100	11,829	102%	4%	121%	157%	12,587
	JP ADGMV($)	233,452	440,752	463,596	447,164	104%	5%	99%	92%	476,359
	JP ADO% to CB	0.20%	0.38%	0.41%	0.40%	102%	6%	101%		0.41%
	JP ADGMV(%)	1.17%	1.90%	2.02%	1.95%	104%	7%	73%		2.04%
	ABS($)	$42.57	$38.06	$38.31	$37.80	101%	1%	-10%		$37.85
KRCB P&L	Revenue ($)	4,480,700	6,455,076	6,916,089	6,731,253	103%	7%	54%		
	PRM ($)	3,074,894	4,849,121	5,334,776	5,071,879	105%	10%	73%		
	PC2 ($)	1,091,890	1,086,180	1,028,004	1,243,494	83%	-5%	-6%		
	PC2 (%)	3.72%	3.12%	2.71%	3.37%	80%	-13%	-27%		
	Take Rate %	15.26%	18.54%	18.25%	18.25%	100%	-2%	20%		
	CIR %	10.47%	13.92%	14.07%	13.75%	102%	1%	34%		
JPCB P&L	Revenue ($)	692,922	1,717,018	1,823,105	1,745,818	104%	6%	163%		
	PRM ($)	420,444	1,544,237	1,592,875	1,456,689	109%	3%	279%		
	PC2 ($)	196,469	-19,691	23,497	126,204	19%	-219%	-88%		
	PC2 (%)	2.81%	-0.14%	0.16%	0.91%	18%	-213%	-94%		
	Take Rate %	9.89%	12.57%	12.69%	12.59%	101%	1%	28%		
	CIR %	6.00%	11.30%	11.08%	10.51%	105%	-2%	85%		
KRJP SLS	SLS Revenue ($)	4,996,546	5,460,015	5,166,914	5,681,070	91%	-5%	3%		
	Total SLS Order	1,315,746	1,395,055	1,335,120	1,384,714	96%	-4%	1%		
	PPO	$0.89	$0.89	$0.74	$0.72	103%	-17%	-17%		
KRJP P&L (MP PC2 + SLS P&L)		2,459,910	2,304,579	2,040,206	2,361,276	86%	-11%	-17%		

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Highlights

1 **KRJP Topline** : KRJP bounced back from Jul de-growth by recovering Jun Toline and trending strong for Aug with MoM 9%(Aug MTD vs. Jul same period) **growing faster than PLT by 8%p -> even excluding VN's outsized MoM +35%, KRJP still outpace PLT by 7%p**

- 8/8 - >100% RR driven by VN recovery and MY promotions
- VN EOM MoM 25% - 90% of Jun ADO recovered from both SLS recovery plan/LFF ADO growing fast +20% vs. Jun
- TH EOM MoM 12%(vs. PLT 0%) - CB's FFSCCB auto opt-in

2 **KRJP MP PC2 + SLS PnL**: KRJP PnL RR is 86%(MoM -11%) even with KR hitting revenue target PRM overspent(though closer to target than Jul, showing accuracy improvement)

- SLS PnL dropped MoM -20%(1.24 mil -> 988k) mainly from 1) SLS outbound ratio -15%p vs Jul due to 25k orders (8/6-8/8 VN soft block) in TWH pending buyer KYC 2) CPO MoM 6% from MY CC vendor change and higher VF

Action item on increasing PnL will be shared in later pg

1b. OKR

KRJP Aug OKRJP - New seller behind target from low CVR (despite ~2x leads), LS tracking 95% RR but expected to hit via Tier 1 KOL VN streaming (Aug 25–26)

KRJP OKR EOM Projections vs. Target

Data 8/1-8/19

	KR/JP OKR	Jul-25	Aug-25			
		Actual	MTD Actual	EOM projection	Target	RR vs. Target %
1	KRJP ADG as % of CB	6.7%	7.3%	7.5%	6.7%	112.9%
	KRJP ADO as % of CB	2.2%	2.5%	2.5%	2.3%	110.8%
2	JP new seller #	328	226	339	377	89.9%
	JP new seller ADO	2,246	2,605	2,705	2,278	118.7%
	JP new seller ADO % to JPCB	19.4%	21.0%	22.5%	20.9%	107.6%
	KR New seller ADO% to KRCB	8.2%	9.3%	9.6%	7.2%	133.1%
	KR ADG share in SEA (TTS + LZD)	86%			90.0%	/
	JP ADG share in SEA (LZD)	96%			97.0%	
	KRCB ADO% to platform's KR origin SKUs ADO	29.4%			35.0%	
	JPCB ADO% to platform's JP origin SKUs ADO	2.1%			2.2%	
	KRJP EBITDA as % KRJP GMV	2.3%	1.3%	2.2%	2.1%	106.8%
3	KRJP LS ADG as % KRJP SEA+TW	6.0%	7.67%	/	8.1%	94.7%
	KRJP Video ADG as % KRJP SEA+TW	3.5%	4.02%		3.7%	108.5%
5	KRJP XDD+NDD coverage %	42.7%	36.9%		30.0%	123.0%
	KRJP average BWT	6.58	6.95		7.47	93.1%
	KRJP CPO	$3.05	$3.09	$3.24	$3.26	99.5%
4	KRJP local fulfilled ADO as % KRJP LFF markets	29.9%	29.5%	29.9%	30.7%	97.4%
	KFBS ADO	1,734	2,305	2,080	1,659	125.4%

Highlights

1 **KRJP Topline OKR:** KRJP tracking above target, outgrowing CB by a lot with ADG/ADG RR 113%/111% respectively, seeing strong growth in MY/TH/BR from promotions/FSS opt in

KRJP Key growth driver OKR:

- 2 Healthy IB/OB leads (IB MoM +105%, OB MoM +19%) but mid-Aug holiday(~2 weeks) impacted seller go-live readiness yet new seller ADO strong
  - Action : cold call/partnership push
- 3 Video expected to close with strong performance. LS is currently at RR 95%, but will meet full target from upcoming VN streaming(8/25~26)
- 4 LFF OKR slightly off track with RR 97% driven by PH/VN missing target RR 95%/94% respectively but both expected to recover in Sep
  - PH gap (170 ADO) mainly driven by inbound delay of churn UST beauty sellers (Torriden, Inga, Papa Recipe)
  - VN gap (170 ADO) majority from inbound delay of 2 Beauty sellers (Beplain, Eqqualberry)

5 **Logistics OKR:** all show good trajectory

Note:

1. *Competitor related metrics(ADG share in SEA, ADO% to platform's origin SKU ADO) are M-1 actual vs. M-1 target due to the time limitation of gov't official data publish period and processing time*
2. *New seller definition is sellers' which go-live after '24 Oct onwards*
3. *KRJP local fulfilled ADO as % of CB LFF metric changed to KRJP local fulfilled ADO as % of KRJP LFF operating markets*
4. OKR items without EOM projections, RR is based on MTD actual vs. Target

1c. KRJP LFF ADO and LFF% Monthly Actuals

KRJP LFF ADO and LFF% Monthly Actuals

Market		Metrics	202501	202502	202503	202504	202505	202506	202507	202508
			Actuals	Actuals	Actuals	Actuals	Actuals	Actuals	Actuals	EoM Projection
ALL	ADO	KRJP LFF	10,501	10,790	12,263	11,925	13,193	14,350	14,548	15,935
	%	--LFF%	24.19%	23.28%	25.09%	26.09%	27.54%	26.18%	30.35%	29.85%
	ADO	KRJP FBS	8,525	8,640	9,678	9,856	10,390	11,943	11,826	12,632
	%	--FBS%	19.64%	18.65%	19.80%	21.57%	21.69%	21.79%	24.67%	23.66%
	ADO	KRJP 3PF	1,975	2,150	2,585	2,069	2,802	2,407	2,721	3,303
	%	--3PF%	4.55%	4.64%	5.29%	4.53%	5.85%	4.39%	5.68%	6.19%
SG	ADO	KR LFF ADO	2,712	2,914	3,131	3,440	3,563	3,989	4,032	4,298
	%	--LFF%	25.77%	25.05%	27.01%	28.41%	30.00%	30.87%	30.48%	31.29%
	ADO	KR FBS ADO	2,712	2,914	3,131	3,440	3,563	3,989	4,032	4,298
	%	--FBS%	26%	25%	27%	28%	30%	31%	30%	31%
	ADO	JP LFF	25	21	26	30	35	47	52	69
	%	--Penetration %	1%	1%	1%	1%	2%	2%	2%	3%
	ADO	--FBS%	25	21	26	30	35	47	52	69
	%	--Penetration %	1%	1%	1%	1%	2%	2%	2%	3%
MY	ADO	KR LFF	2,380	2,478	3,045	2,833	2,943	3,644	3,711	3,721
	%	--LFF%	36.64%	38.23%	38.23%	37.82%	40.61%	43.20%	46.17%	41.63%
	ADO	KR FBS	2,324	2,423	2,972	2,777	2,870	3,586	3,658	3,655
	%	--FBS%	36%	37%	37%	37%	40%	43%	46%	41%
	ADO	KR 3PF	56	55	74	57	73	58	53	66
	%	--3PF%	1%	1%	1%	1%	1%	1%	1%	1%
PH	ADO	KR LFF	2,244	2,126	2,125	2,014	2,205	2,762	2,577	2,839
	%	--LFF%	27.30%	27.33%	26.14%	26.61%	25.12%	26.84%	26.79%	29.02%
	ADO	KR FBS	2,244	2,126	2,125	2,011	2,199	2,740	2,373	2,697
	%	--FBS%	27%	27%	26%	27%	25%	27%	25%	28%
	ADO	KR 3PF	0	0	0	3	6	22	204	142
	%	--3PF%	0.001%	0.000%	0.000%	0.044%	0.072%	0.216%	2%	1%
TH	ADO	KR LFF	1,459	1,403	1,634	1,835	1,929	1,847	1,884	2,115
	%	--LFF%	28.64%	27.77%	29.38%	36.20%	35.11%	32.56%	34.10%	34.25%
	ADO	KR FBS	1,220	1,156	1,425	1,599	1,723	1,581	1,711	1,913
	%	--FBS%	24%	23%	26%	32%	31%	28%	31%	31%
	ADO	KR 3PF	239	247	209	236	205	266	173	202
	%	--3PF%	5%	5%	4%	5%	4%	5%	3%	3%
VN	ADO	KR LFF	1,681	1,847	2,302	1,773	2,518	2,060	2,291	2,893
	%	--LFF%	14.83%	13.71%	16.96%	15.62%	20.13%	13.46%	24.47%	23.22%
	ADO	KR 3PF	1,681	1,847	2,302	1,773	2,518	2,060	2,291	2,893
	%	--3PF%	15%	14%	17%	16%	20%	13%	24%	23%

2a. JP New sellers IB/OB Budget Proposal

[Prev. meeting recap] JP has 1.7M EC sellers which is 133% vs. KR and SHP JP penetration at <0.5%, while 95% of sellers are reachable via Inbound but productivity/cost efficiency is higher for Outbound

Key highlights

***Recapping the overall JP landscape and Inbound/Outbound productivity & cost from last meeting*

1 Overall JP is estimated to have 1.7M EC sellers, which is 133% vs. KR and SHP JP have 0.46% penetration(~8K sellers)

- 2 Inbound reachability : 95% of the pool can still be targeted but performance diverges with Inbound inorganic being inefficient vs. Inbound organic
- 3 Outbound: Smaller seller pool of total 70k sellers but higher productivity and better cost efficiency mainly driven by seller community partnership

JP New Seller Performance Recap

					2025 New sellers(2024 Oct ~ 2025 Jun)							
		Potential Seller & JP Pntr (%)			Seller			Seller Productivity		Cost and ROAS		
Per Channel		Potential pool #	Total JP live seller #	Pntr rate %	[A] New Seller #	[B] ADO	[C] ADG	[B/A] ADO/seller	[C/A] ADG/seller	[F] Total cost	[F/A] Cost per seller	[C/F] ADG per cost of acq
Inbound		2 **1,627,785**	**3,099**	**0.19%**	**3,828**	**975**	**$37,672**	**0.25**	**$10**	**$681,912**	**$178**	**$0.06**
	Inbound_organic	-	2,904	-	3,727	952	$37,172	0.26	$10	$61,372	$16	$0.61
	Inbound_inorganic	-	195	-	101	23	$500	0.23	$5	$620,540	$6,144	$0.00
Outbound		3 **70,776**	**834**	**1.18%**	**893**	**1,312**	**$40,347**	**1.47**	**$45**	**$129,875**	**$145**	**$0.31**
	Outbound_partnership_ seller_community	4,300	275	6.39%	572	1,069	$34,363	1.87	$60	$16,758	$29	$2.05
	Outbound_partnership_ others	-	84	-	191	175	$4,580	0.92	$24	$90,493	$474	$0.05
	Outbound_others	-	475	-	130	68	$1,404	0.52	$11	$22,623	$174	$0.06
Total		1 **1,698,561**	**7,866**	**0.46%**	**4,721**	**2,288**	**$78,019**	**0.48**	**$17**	**$811,787**	**$172**	**$0.10**
	(ref) All JP sellers				30,967	12,025	$461,152	0.39	$15	N/A		

Note:

1. *Potential seller pool is based on JP's EC market intel 2023~2024, in 2025 EC seller pool size is estimated to reach 1.7M sellers including both cross-border and local sellers.*
2. *Penetration is calculated based on SHP JP total live gp count as of 202506*
3. *New seller refers to go-live seller(e.g. Live SKU>5) from 241001 to 20250631 while New seller ADO is 202506 ADO for new seller*
4. *Outbound cost refers to HC cost(both FTE and BPO)*

[‘25 JP New seller projection] Reallocating reduced Inbound budget to cold call initiatives, we can expect higher seller growth(5.8K → 7.2K) with lower CPA($190 → $145)

Key highlights

1.Direction: Inbound channel to reduce monthly 23K USD → allocate the budget to higher productivity Outbound lead generation and JP growth driver (SKU expansion)

- 1) monthly 11K USD to scale agency cold call to tap both IB conversion push and OB lead outreach
- 2) monthly 7K USD for seller community SKU migration tool subscription (200 USD/account) to facilitate SKU migration to new markets (temp replacement of SIP)
- 1)+2) monthly total 18K USD, which is less than Inbound channel reduction 23K USD

2. Impact: agency cold call driving +1.3K new seller via lead outreach (OB) + go-live conversion push (IB), with lower overall cost per seller

1 **New sellers: 5.8K → 7.2K (+24%), ADG: $94.9K → $107.8K (+14%), Cost per seller: $190 → $145**

2 IB sellers is expected to grow (4.8K → 5.5K) with lower cost per seller ($174 → $137)

3 OB sellers is expected to grow (1k→1.7k) with lower cost($264→$171) and decrease in ADO/seller which is expected but still 4x of IB

2025 JP New Seller To-be vs. As-is Comparison

	As-is								To-be(after OB Initiative)							
	Seller			Seller Productivity		Cost and ROAS			Seller			Seller Productivity		Cost and ROAS		
Per Channel	[A] New Seller #	[B] ADO	[C] ADG	[B/A] ADO/seller	[C/A] ADG/seller	[F] Total cost	[F/A] Cost per seller	[C/F] ADG per cost of acq	[A] New Seller #	[B] ADO	[C] ADG	[B/A] ADO/seller	[C/A] ADG/seller	[F] Total cost	[F/A] Cost per seller	[C/F] ADG per cost of acq
Inbound	2 **4,780**	**1,195**	**$47,800**	**0.25**	**$10**	**$831,732**	**$174**	**$0.06**	**5,464**	**1,409**	**$53,914**	**0.26**	**$10**	**$748,854**	**$137**	**$0.07**
Inbound_organic	4,635	1,205	$46,350	0.26	$10	$70,584	$15	$0.66	4,635	1,205	$46,350	0.26	$10	$116,971	$25	$0.40
Inbound_inorganic	145	33	$725	0.23	$5	$761,148	$5,249	$0.00	145	33	$725	0.23	$5	$621,036	$4,283	$0.00
Call center initiative - IB				-					684	171	$6,839	0.25	$10	$10,847	$16	$0.63
Outbound	3 **1,048**	**1,541**	**$47,160**	**1.47**	**$45**	**$274,273**	**$262**	**$0.17**	**1,712**	**1,697**	**$53,884**	**0.99**	**$31**	**$293,426**	**$171**	**$0.18**
Outbound_partnership_ seller_community	714	1,335	$42,840	1.87	$60	$114,141	$160	$0.38	714	1,335	$42,840	1.87	$60	$114,141	$160	$0.38
Outbound_partnership_ others	56	52	$1,344	0.92	$24	$125,685	$2,244	$0.01	56	52	$1,344	0.92	$24	$125,685	$2,244	$0.01
Outbound_others	278	145	$3,058	0.52	$11	$34,447	$124	$0.09	278	145	$3,058	0.52	$11	$34,447	$124	$0.09
Call center initiative - OB									664	166	$6,642	0.25	$10	$19,153	$29	$0.35
Total	1 **5,828**	**2,736**	**$94,960**	**0.47**	**$16**	**$1,106,005**	**$190**	**$0.09**	**7,176**	**3,107**	**$107,798**	**0.43**	**$15**	**$1,042,280**	**$145**	**$0.10**

6X

4X

Note:

1. *Simulation based on 2025 JP new seller funnel assumptions. Inbound organic/inorganic performance projected with reduced IB budget.*
2. *Cold call initiative (IB & OB) productivity, conversion, and cost per seller derived from historical OB/BPO benchmarks and agency proposals. Estimated figures; actual results may vary.*

Cold call initiative deliver ~1.3K new sellers with budget relocation in Q4, leveraging on Outbound higher productivity, together with the budget secured for seller community migration tool cost

Key highlights

- Ramp up of the agency expect to start from Oct, and for 3 month period ~13K calls in total to cover both lead outreach and go-live push for both IB and OB. → this plan will only be able to cover 50% of the total calls required, we will review the plan efficiency in year end and decide for '26 actions.
  - 1) lead outreach - tapping JP's 1.7M EC seller market by scaling cold call outreach, targeting to convert leads to go-live new seller # 499
  - 2) go-live push drive conversion - extend support to go-live push for scalable conversion target IB's larger base more effectively
- 2 Expected outcome is estimated by historical funnel rates, 1 **cold call initiative is expect to deliver 1.3K go-live sellers** in the 3-month period, with total cost 30K USD (**monthly cost at ~11K USD).**
  - 3 Resource 3 agency agents at ~300 calls/day to tap the top leads and test, ADG per cost of acq at $0.36~ $0.63
- (Additional) monthly 7K USD for seller community SKU migration tool subscription (200 USD/account) to facilitate SKU migration to new markets

2025 JP New Seller Cold Call Initiative - Estimated Seller # and Cost Data by source breakdown

		Seller				Seller Productivity		Cost and ROAS		
per Channel		Potential seller pool #	Conversion Rate %	Estimated Seller #	Monthly Estimated Seller #	Estimated ADO	[A] Estimated ADG	Total Cost	[B] Cost per seller	[A/B] ADG per cost of acq
Inbound		**1,627,785**	**0.04%**	**684**	**228**	**171**	**$6,839**	**$10,847**	**$16**	$0.63
	Go-live push - IB	1,627,785	0.04%	684	228	171	$6,839	$10,847	$16	$0.63
Outbound		**70,776**	**0.94%**	**664**	**221**	**166**	**$6,642**	**$19,153**	**$29**	**$0.35**
	Go-live push - OB	4,300	3.85%	166	55	41	$1,657	$342	$2	$4.85
	Lead outreach	28,487	1.75%	499	166	125	$4,985	$18,811	$38	$0.27

Note:

1. *Call requirements based on Oct–Dec 2025 JP working days (63 days).*
2. *Lead outreach pool = 28.5K sellers; go-live push inflow = ~4.1K/month.*
3. *Conversion rates and cost per seller calculated from observed inhouse BPO funnel (IB/OB) and vendor agency benchmarks (100–120 calls/agent/day, $3,333/agent/month)*

[Appendix] JP Inbound plans to shirt from Paid Ads to Organic, driving down the budget 36% (from $65K → $42K/monthly) focusing on building long term efficiency and give room for better budget utilization

Key highlights

1 Direction: Prioritize content, SEO, and owned channels to strengthen awareness and sustain long-term cost efficiency baseline; **reduce ad-related spending by 60% and overall marketing budget by 36%**

2 Impact: Will have drop in Launched # from CPL/CPA increase but **if we can utilize the cold call outsourced agency launched # will also grow for Inbound despite budget shifting**

3 Monthly budget change: Inbound total -$23k (-36%) cutting on Inorganic -$35k (-60%) while increasing Organic +$11k (+192%)

- Yearly budget change : Inbound total -$93.7k (-11%) - Inorganic -$140k (-18%) / Organic +$46k (+66%)
- Cost efficiency: CPL +8% / CPA +3% / Lead to Launch CVR +0.7%p

Monthly AVG Spending Budget by Initiatives

Category	Initiative	[A] AS-IS 25 Q2 Actual	[B] TO-BE 25 Sep~Dec	[B/A]
Organic	Website, Server	$4,071	$3,357	-$714 (-18%)
	SEO, GEO	$121	$4,028	$3,907 (+3,229%)
	PR	$1,844	$3,357	$1,513 (+82%)
	Social Channel	$0	$4,028	$4,028
	Video - Longform	$0	$1,790	$1,790
	Video - Local Demand	$0	$739	$739
	Translation, ad hoc	$0	$336	$336
	Total Organic spending	**$6,036**	**$17,635**	**$11,599 (+192%)**
Inorganic	Google SA	$19,257	$10,073	-$9,184 (-48%)
	Yahoo SA	$1,426	$0	-$1,426 (-100%)
	META DA	$14,921	$11,750	-$3,171 (-21%)
	Youtube DA	$18,050	$2,250	-$15,800 (-88%)
	Other DA	$5,442	$0	-$5,442 (-100%)
	Total Inorganic spending	**$59,096**	**$24,073**	**-$35,023 (-60%)**
Total Marketing Budget		**$65,132**	**$41,708**	**-$23,424 (-36%)**

1

EOY Total Projection

	EOY Total Projection	[A] AS-IS 25 Total	[B] TO-BE 25 Total(after budget cut)	[B/A] change (#,%)
3	**Total spending**	$831,732	$738,007	-$93,725 (-11%)
	∟Organic	$70,584	$116,971	$46,347 (+66%)
	∟Inorganic	$761,148	$621,036	-$140,384 (-18%)
	Lead #	22,479	18,552	-3,927 (-17%)
2	Cost per Lead	$37	$40	$3 (+8%)
	Launch #	4780	3,327	-512 (-13%)
	Cost per Acquisition	$215	$222	$7 (+3%)
	Lead to Acquisition CVR	17.2%	17.9%	+0.7%p
	YTD ADO	1,702	1,464	-238 (-14%)

Note:

1. *AS-IS figures are based on 2025 Q2 after the inorganic source tagging was completed.*
   TO-BE figures are projected for the remaining 4 months of 2025(Sep-Dec).
2. *ADO calculation is based on 2025 H1.*

[Appendix] - Proposing for outsourced agency model vs. inhouse BPO as it delivers more flexibility and better scalability, which is critical for tapping JP's large EC seller base

Key highlights

1 JP suggest to go with outsourced agency model vs. inhouse BPO for lead gen/conversion due to below despite ~2x cost;

- Faster to ramp: Agencies can deploy agents in 2–3 weeks vs. 1–2 months for in-house hiring. This accelerates our seller acquisition timeline.
- Higher productivity: Outsourced agents can make 100–120 calls/day, nearly 2x the in-house productivity (50–80 calls/day).
- 2 Scalability & flexibility: Agencies allow quick scale-up or scale-down, while in-house is slower and less flexible.
- Comparable cost-efficiency: agency CPA is lower due to higher throughput and stronger go-live conversion.

Cold call options comparison - in-house vs. outsourced

Metric	Option 1: In-House (BPO)	Option 2: Outsourced Agency (e.g. Newgate)
Hiring Time	~1-2 months	2-3 weeks
Cost/headcount/month, $	1 $1,800	$3,333
Ramp-up Time	Longer	Shorter
Script Training Required	Yes	Maybe, shared burden
Quality Control	Internal	Harder to manage
Estimated Calls per Agent/day	50 - 80	100 -120
Scalability	2 Moderate	High
Flexibility	Low	High

Note:

1. *Cost and productivity assumptions based on internal BPO benchmarks and vendor proposals (e.g., Newgate).*
2. *Conversion rates derived from historical OB funnel performance.*
3. *CPA calculated as total OB cost ÷ monthly go-live sellers.*
4. *Calls/Month is calculated based on calls per agent/day * avg working day#*

2b. KR New Sellers Overview & IB/OB Budget Proposal

New seller growth consistently scalable via outbound channels with 5x higher ADO, stronger ROAS, and 33% PSP conversion vs. inbound

Key Highlight

1. Although outbound and inbound demonstrate comparable potential, **Outbound is the lower penetration(0.18% vs. inbound) suggests growing room to capture new sellers**
   - 1-1 Outbound partners contribute fewer new sellers (9.6%) vs. inbound, but deliver **4x higher ADO and 5x higher ADG per seller**
   - 1-2 Outbound **cost per order remains very low ($4) and their ROAS per seller(ADG per cost of acquisition) is almost 2.7 times higher than Inbound.** This indicates that outbound sellers deliver high-quality orders
2. Although the offline event such as the Beauty Summit initially showed low ADO since they were held in June, they achieved the highest PSP conversion at 33%. By August, these offline event sellers had already generated 352 ADO, demonstrating strong potential which scaling such events can attract high-quality sellers capable of sustaining strong ADO performance

[KRCB H1 New Seller Productivity by Channel]

	Potential Seller & KR Pntr(%)			Seller Productivity						Cost & ROAS				PSP		
	Potential pool #	Total KR live seller #	Pntr rate %	New seller #	ADO	ADG	New seller %	ADO/ seller	ADG/ seller	Total cost	Cost per seller	Cost per order	ADG per cost of acq	PSP	PSP ADO	PSP %
Inbound	**681,341**	**3,620**	**0.53%**	**4,962**	**1,805**	**43,409**	**86.5%**	**0.4**	**8.7**	**$694,507**	**$140**	**$13**	**$0.06**	**2**	**56**	**4%**
Inbound_Organic	-	2,638		3,383	1,133	27,951	59.0%	0.3	8.3	$153,791	$45	$5	$0.18	1	9	2%
Inbound_Inorganic	-	982		1,579	672	15,458	27.5%	0.4	9.8	$540,716	$342	$27	$0.03	1	47	2%
Outbound	**591,207**	**1,074**	**0.18%**	**551**	**1,136**	**23,960**	**9.6%**	**2.1**	**43.5**	**$145,330**	**$264**	**$4**	**$0.16**	**24**	**785**	**46%**
Outbound_Partner_Lead_gen	60,000	63	0.11%	46	254	5,343	0.8%	5.5	116.2	$22,417	$487	$3	$0.24	5	230	10%
Outbound_Partner_MKT/Ops	41,600	163	0.39%	99	307	6,773	1.7%	3.1	68.4	$32,745	$331	$4	$0.21	7	318	13%
Outbound_Partner_Education	89,000	160	0.18%	109	96	2,585	1.9%	0.9	23.7	$11,334	$104	$4	$0.23	0	0	0%
Outbound_Partner_Govt	206,137	220	0.11%	120	224	4,511	2.1%	1.9	37.6	$18,387	$153	$3	$0.25	1	21	2%
Outbound_Others	194,470	468	0.24%	177	255	4,748	3.1%	1.4	26.8	$60,447	$342	$8	$0.08	11	217	21%
Others (Inbound+Outbound)	**1,350**	**244**	**18.07%**	**225**	**70**	**1,297**	**3.9%**	**0.3**	**5.8**	**$64,673**	**$287**	**$31**	**$0.02**	**26**	**432**	**50%**
Others_Beauty Summit	1,300	207	15.92%	199	13	276	3.5%	0.1	1.4	$36,198	$182	$93	$0.01	17	352	33%
Others_Teamcollab (Indirect)	50	37	74.00%	26	57	1,021	0.5%	2.2	39.3	$28,475	$1,095	$17	$0.04	9	80	17%
Total	**1,273,898**	**4,938**	**0.39%**	**5,738**	**3,011**	**68,666**	**100.0%**	**0.5**	**12.0**	**$904,510**	**$158**	**$10**	**$0.08**	**52**	**1,273**	**100%**

Note:

1. *Total KR live seller definition is (1)live SKU >=5, (2)L7D login, (3)Holiday mode OFF, (4)Shop & account status Normal and data period as of 2025/08/17.*
2. *Seller Productivity date is from 2024/10 to 2025/06, accumulative, actual data and penetration rate% is total KR live seller/Potential pool #.*
3. *New Seller definition is gp go live date from 2024/10/1 to 2025/06/31 and ADO, ADG period is 2025/06.*
4. *PSP # is from 2024/10/01 to 2025/06/31 and PSP ADO period is 2025/08*

By running the simulation through EOY ’25, we project acquiring 1K new sellers and generating additional 2.5K ADOs driven by improvements across 5 key channels, while achieving $66K in cost savings

Key Highlight

1. We can acquire **total 1,094 new sellers, generate 2,493 additional ADO and 54,561 ADG** by pushing outbound partners and offline event, as well as we expect to reduce cost per seller for outbound $264 to $161 and others $230 to $183, improve ROAS by 0.14 for outbound and by 0.08 for others(offline event)
2. For Seller productivity **ADO/Seller increase to 0.6 and ADG/Seller increase to 13.4**
3. By the EOY, the total expected cost was projected at $1.41M, but with channel efficiency improvements, it is expected to decrease to $1.35M where expected to come from **offsetting the $76,576 in outbound and offline event costs against $142,900($35,725 x 4 months, P.21)** savings from inbound, resulting in net $66K reduction.

➢ To achieve this, we will execute several initiatives;

- **Lead_Gen:** Plan to expand the number of lead-generated agencies similar to storelead
- **MKT/Ops & Education:** Two additional 1 year BPO headcounts will be added to support lead acquisition
- **Government:** NSP monthly cost will be subsidized from $3,000 to $1,300, reflecting the avg. of MKT spend($1,700) of non-managed sellers
- **Beauty Summit (Offline Event):** Execute additional offline event during Q4 ‘25 similar to Beauty Summit

	AS-IS								TO-BE (After OB & Offline Event Initiatives)							
	Seller			Seller Productivity		Cost and ROAS			Seller			Seller Productivity		Cost and ROAS		
per Channel	[A] New seller #	[B] ADO	[C] ADG	[B/A] ADO/Seller	[C/A] ADG/Seller	[F] Total Cost	[F/A] Cost per Seller	[C/F] ADG per cost of acq	[A] New seller #	[B] ADO	[C] ADG	[B/A] ADO/Seller	[C/A] ADG/Seller	[F] Total Cost	[F/A] Cost per Seller	[C/F] ADG per cost of acq
Inbound	**7,719**	**2,145**	**50,531**	**0.3**	**6.5**	**$1,105,093**	**$143**	**$0.05**	**7,719**	**2,145**	**50,531**	**0.3**	**6.5**	**$962,661**	**$125**	**$0.05**
Inbound_Organic	5,262	1,346	32,537	0.3	6.2	$222,245	$42	$0.15	5,262	1,346	32,537	0.3	6.2	$236,969	$45	$0.14
Inbound_Inorganic	2,456	798	17,994	0.3	7.3	$882,848	$359	$0.02	2,456	798	17,994	0.3	7.3	$725,692	$295	$0.02
Outbound	**857**	**1,350**	**27,891**	**1.6**	**32.5**	**$226,069**	**$264**	**$0.12**	**1,752**	**3,428**	**73,650**	**2.0**	**42.0**	**$282,645**	**$161**	**$0.26**
Outbound_Partner_Lead_gen	72	302	6,220	4.2	86.9	$34,871	$487	$0.18	258	1,330	27,845	5.2	108.1	$42,551	$165	$0.65
Outbound_Partner_MKT/Ops	154	365	7,884	2.4	51.2	$50,937	$331	$0.15	253	672	14,673	2.7	58.0	$53,895	$213	$0.27
Outbound_Partner_Education 1	170	114	3,009	0.7	17.7	$17,631	$104	$0.17	571	467	12,507	0.8	21.9	$29,569	$52	$0.42
Outbound_Partner_Govt	187	266	5,251	1.4	28.1	$28,602	$153	$0.18	396	656	13,098	1.7	33.1	$62,602	$158	$0.21
Outbound_Others	275	303	5,527	1.1	20.1	$94,029	$342	$0.06	275	303	5,527	1.1	20.1	$94,029	$342	$0.06
Others (Inbound+Outbound)	**350**	**83**	**1,510**	**0.2**	**4.3**	**$80,492**	**$230**	**$0.02**	**549**	**498**	**10,312**	**0.9**	**18.8**	**$100,492**	**$183**	**$0.10**
Others_Beauty Summit	310	15	321	0.0	1.0	$36,198	$117	$0.01	509	430	9,123	0.8	17.9	$56,198	$111	$0.16
Others_Teamcollab (Indirect)	40	68	1,189	1.7	29.4	$44,294	$1,095	$0.03	40	68	1,189 2	1.7	29.4	$44,294	$1,095	$0.03
Total	**8,926**	**3,578**	**79,932**	**0.4**	**9.0**	**$1,411,654**	**$158**	**$0.06**	**10,020**	**6,070**	**134,493**	**0.6**	**13.4**	**$1,345,798**	**$134**	**$0.10**

3

Note:

1. *This is data from 2024/10 to 2025/12 and ADO, ADG projected based on 2025/06 with MoM % of MP 2025 Projection*

[Appendix] From total 398K potential pools, we expect to acquire 1,094 new sellers, 2,493 ADO and 54,551 ADG by 5 key channels improvement

Key Highlight

1. 5 Key channels have **398,037 potential pool numbers**
2. From 25' Sep to Dec, we expect to **acquire total 1,094 sellers, 2,493 ADO and 54,561 ADG**. Especially 4 outbound partners are contributed to **84%** from the total estimated acquisition sellers
   - Highest ADO & ADG channel is Lead_gen where have a seller pool with high performance from the ecommerce industry
   - Offline event (Beauty summit) has also generated high ADO as 2nd, given the high PSP conversion rate, we believe it greater potential for growth vs. other channels
3. Total cost by proceeding **5 key channels improvement is $76,576 and monthly cost is $19,144**
4. Especially 4 outbound channels cost per acquisition is $63 and ADG per cost of acquisition is $0.81

[KRCB 2025 Estimated Seller # and Cost Data by Channel]

per Channel	Cost to be used	Potential pool #	Conversion Rate %	Estimated Acq. Seller # (2)	Estimated ADO	Estimated ADG	Total Cost	Cost per month	Cost per acquisition (4)	ADG per cost of acq
Outbound		**396,737**	**0.3%**	**895**	**2,078**	**45,759**	**$56,576**	**14,144**	**$63**	**$0.81**
Outbound_Partner_Lead_gen	Increase # of lead agency	60,000	0.31%	186	1,028	21,626	$7,680	1,920	$41	$2.82
Outbound_Partner_MKT/Ops	Increase HC	41,600	0.24%	99	308	6,789	$2,958	739	$30	$2.30
Outbound_Partner_Education	Increase HC	89,000	0.45%	401	353	9,498	$11,938	2,985	$30	$0.80
Outbound_Partner_Govt	NSP disc.	206,137	0.10%	209	390	7,847	$34,000	8,500	$163	$0.23
Others (Inbound+Outbound)		**1,300**	**15.3%**	**199**	**415**	**8,802**	**$20,000**	**5,000**	**$101**	**$0.44**
Others_Beauty Summit	Increase frequency	(1) 1,300	15.3%	199	415	8,802	(3) $20,000	5,000	$101	$0.44
Total		**398,037**	**15.6%**	**1,094**	**2,493**	**54,561**	**$76,576**	**19,144**	**$70**	**$0.71**

Note:

1. *This is accumulated data for increments from each channels from Sep to Dec '25 for 4 months*

[Appendix] By cutting MKT Ads spend by 70% for the remainder of this year, we can reduce our total monthly marketing budget from USD 73.5K to USD 37.8K — a 49% overall decrease

Key Highlight

- **Only a minimal advertising budget will be used to support Shopee's branding efforts and increase impressions of organic content that the team is creating (i.g. Seller interview, blog, short-form videos) and the main investment in organic channel would be still necessary.**
- **Budget reduction**
  - 1 Monthly budget reduction onward : Inbound total -$35.7k (-49%) Inorganic -$39k (-70%) / Organic +$3.7k (+32%)
  - 2 Yearly budget reduction by end of year : Inbound total - $180k (-21%)
- **Still enhancing marketing campaign efficiency**
  - 3 CPL -7% / CPA -10% / Lead to acquisition CVR +0.9%p estimated
- **Balanced Growth**
  - 4 Maintain minimum and necessary ads (Naver SA/Google SA) to stabilize reseller acquisition and ADO of them which account for 94% of total inbound ADO

*** Monthly AVG Spending Budget by Initiatives**

Category	Initiative	[A] AS-IS 25 H1 Actual	[B] TO-BE 25 Sep~Dec	[B/A]
Organic	Website, Server	$1,298	$1,298	$0 (0%)
	SEO, GEO	$1,442	$2,524	$1,082 (+75%)
	PR	$6,025	$3,605	-$2,422 (-40%)
	Video- Longform	$1,923	$1,923	$0 (0%)
	Video - Shortform	$721	$721	$0 (0%)
	Video - Local Demand	$0	$5,020	$5,020
	Organic Total	$11,409	1 $15,090	$3,681 (+32%)
Inorganic	4 Naver SA	$4,370	$3,245	-$1,125 (-26%)
	Google SA	$10,633	$5,483	–$5,150 (-48%)
	META DA	$19,403	$6,705	–$12,698 (-65%)
	Youtube DA	$12,718	$1,800	–$10,918 (-86%)
	Others DA	$9,898	$500	-$9,398 (-95%)
	Inorganic Total	57,022	1 $17,733	-$39,289 (-70%)
Others	Offline Event	$5,117	$5,000	-$117 (-2%)
Total Marketing Budget		**$73,548**	1 **$37,823**	**-$35,725 (-49%)**

*** EOY Total Projection**

EOY Total Projection	[A] AS-IS 25 year plan	[B] TO-BE 25 total after budget reduction	[B/A]
2 Total spending	$858,986	$678,738	-$180,244 (-21%)
Organic spending	$156,986	$151,628	-$5,352 (-3%)
Inorganic spending	$702,000	$527,110	-$174,892 (-25%)
Lead #	31,048	26,159	-4,889 (-16%)
3 Cost per Lead	$28	$26	-$2 (-7%)
Launch #	7,604	6,646	-958 (-13%)
3 Cost per Acquisition	$113	$102	-$11 (-10%)
Lead to Acq. CVR	24.5%	25.4%	0.9%p
YTD ADO	2,357	2,060	-297 (-13%)

Note:

1. *AS-IS figures are based on 2025 H1.*
   TO-BE figures are projected for the remaining 4 months of 2025(Sep-Dec).
2. *ADO calculation is based on 2025 H1.*

[Appendix] Breakdown to the table ‘KRCB H1 New Seller Productivity by Channel’

[KRCB H1 New Seller Productivity by Channel]

		Potential Seller & KR Pntr(%)			Seller Productivity						Cost & ROAS				PSP		
per Channel		Potential pool #	Total KR live seller #	Pntr rate %	New seller #	ADO	ADG	New seller %	ADO/ seller	ADG/ seller	Total cost	Cost per seller	Cost per order	ADG per cost of acq	PSP	PSP ADO	PSP %
Inbound		**681,341**	**3,620**	**0.53%**	**4,962**	**1,805**	**43,409**	**86.5%**	**0.4**	**9**	**$694,507**	**$140**	**$13**	**$0.06**	**2**	**56**	**4%**
	Inbound_Organic	-	2,638		3,383	1,133	27,951	59.0%	0.3	8	$153,791	$45	$5	$0.18	1	9	2%
	Inbound_Inorganic	-	982		1,579	672	15,458	27.5%	0.4	10	$540,716	$342	$27	$0.03	1	47	2%
Outbound		**591,207**	**1,074**	**0.18%**	**551**	**1,136**	**23,960**	**9.6%**	**2.1**	**43**	**$145,330**	**$264**	**$4**	**$0.16**	**24**	**785**	**46%**
	Outbound_partners	**591,137**	**886**	0.15%	**479**	**917**	**19,887**	**8.3%**	**1.9**	**42**	**$133,744**	**$279**	**$5**	**$0.15**	**13**	**568**	**25%**
	Government	206,137	220	0.11%	120	224	4,511	2.1%	1.9	38	$18,387	$153	$3	$0.25	1	21	2%
	Education	89,000	160	0.18%	109	96	2,585	1.9%	0.9	24	$11,334	$104	$4	$0.23	0	0	0%
	MKT+Ops	41,600	163	0.39%	99	307	6,773	1.7%	3.1	68	$32,745	$331	$4	$0.21	7	318	13%
	ERP	139,500	54	0.04%	14	2	52	0.2%	0.1	4	$8,815	$630	$147	$0.01	0	0	0%
	Community	8,600	179	2.08%	87	34	622	1.5%	0.4	7	$22,417	$258	$22	$0.03	0	0	0%
	Logistics	46,000	11	0.02%	1	0	1	0.0%	0.0	1	$9,822	$0	$0	$0.00	0	0	0%
	Payment	300	36	12.00%	3	0	0	0.1%	0.0	0	$7,807	$0	$0	$0.00	0	0	0%
	Lead_gen	60,000	63	0.11%	46	254	5,343	0.8%	5.5	116	$22,417	$487	$3	$0.24	5	230	10%
	Outbound_others (Referral, wishlist)	**70**	**188**	268.57%	**72**	**219**	**4,073**	**1.3%**	**3.0**	**57**	$11,586	$161	$2	$0.35	**11**	**217**	**21%**
Others (Inbound+Outbound)		**1,350**	**244**	**18.07%**	**225**	**70**	**1,297**	**3.9%**	**0.3**	**6**	**$64,673**	**$287**	**$31**	**$0.02**	**26**	**432**	**50%**
	Others_Beauty Summit	1,300	207	15.92%	199	13	276	3.5%	0.1	1	$36,198	$182	$93	$0.01	17	352	33%
	Others_Indirect (Teamcollab)	50	37	74.00%	26	57	1,021	0.5%	2.2	39	$28,475	$1,095	$17	$0.04	9	80	17%
Total		**1,273,898**	**4,938**	**0.39%**	**5,738**	**3,011**	**68,666**	**100.0%**	**0.5**	**12**	**904,510**	**$158**	**$10**	**$0.08**	**52**	**1,273**	**100%**

Note:

1. *Total KR live seller definition is (1)live SKU >=5, (2)L7D login, (3)Holiday mode OFF, (4)Shop & account status Normal and data period as of 2025/08/17.*
2. *Seller Productivity is Oct '24 ~ Jun' 25, accumulative, actual data, penetration rate% is total KR live seller/Potential pool #.*
3. *New Seller definition is gp go live date from 2024/10/1 to 2025/06/31 and ADO, ADG period is 2025/06.*
4. *PSP # is from 2024/10/01 to 2025/06/31 and PSP ADO period is 2025 Aug.*

2c. KR JP Investments in Ads and AMS

#2: [KR] Profitability - TH Improvements - MP PC2: to achieve P&L to breakeven, MP side (1) Commission fee to increase; (2) PRM project to reduce, and exploring improvement potentials on ads takerate%

Jul'25 KRCB TH performance	Apr'25	Jul'25	Simulation a. add commission b. PRM refreshed
ABS	22.6	19.6	19.6
Revenue (%)	**14.8%**	**17.0%**	**19.1%**
Commission Fee (%)	8.6%	1 9.7%	11.8%
Base Commission (%)	*4.5%*	*5.1%*	*11.8%*
Charged Services (%)	*4.1%*	*4.5%*	*0%*
Paid Ads (%)	3.2%	3 3.8%	3.8%
Marketing Packages (%)	0.0%	0.3%	0.3%
Handling Fee (%)	2.9%	3.2%	3.2%
PRM (%)	**14.4%**	**19.0%**	**17.4%**
Item Rebate (%)	0.3%	0.2%	0.2%
Logistics Rebate (%)	0.3%	2 1.4%	1.3%
Voucher Rebate (%)	13.1%	16.7%	16.0%
Coin Rebate (%)	0.7%	0.7%	0.7%
Gross Transaction fee (%)	**1.4%**	**1.5%**	**1.5%**
MP PC2 (%)	**-1.1%**	4 **-3.5%**	**0.2%**
MP PC2	**-45,500**	**-118,079**	**6,689**
MP PC2+SLS P&L	**-37,170**	**-81,092**	**43,677**
KR MP PC2 + SLS P&L / order	**-0.24**	**-0.56**	**0.30**
Ref: CNCB MP PC2 + SLS P&L / order	**0.29**	**0.10**	**0.49**
KR vs CNCB Gap	**-0.53**	**-0.66**	**-0.19**

Key Highlights:

Potentials Improvements on PnL

1. **[Confirmed]** Base Commission will increase from 9.7% to 11.8% given FSS/CCB compulsory, base commission +1% and 1THB/order infrastructure fee
2. **[Confirmed]** PRM will be less spending than Jul'25, est. 17.4%
3. **[Studying]** Paid Ads: ads takerate vs other mkts small, vs CNCB growth less
4. **[Confirmed]** SLS Discount: **propose not to adjust given MP PC2** is able to breakeven and reaching similar level as CNCB

Follow-Up required:

- vs CNCB: is KR Ads takerate worse? >> only in TH/PH worse (in similar ABS range), same conclusion as last meeting, actions proposed from KR side on increasing ads takerate
- Adding AMS, do KR sellers still invest less than CN sellers? >> turning better, higher than CNCB in AMS, however, cannot cover the ads takerate gap

KRCB has higher AMS spend than CNCB, but it still doesn't close the ad take-rate gap in TH/PH

Table: KRCB Ads takerate and AMS investment vs CNCB (Jul'25)

Type	BU	Metrics	Unit	SG	MY	TH	TW	VN	PH	Total
ABS	KRCB			20.9	18.6	19.6	37.9	10.1	16.8	20.0
	CNCB			12.4	9.4	8.1	23.3	3.5	5.3	7.1
Takerate%	KRCB	Ads	%	9.5%	8.1%	3.8%	3.3%	4.8%	3.9%	5.6%
		AMS	%	0.9%	1.2%	1.7%	0.3%	2.7%	0.6%	1.0%
		Ads+AMS	%	10.4%	9.3%	5.5%	3.6%	7.5%	4.6%	6.6%
	CNCB MP	Ads	%	5.4%	5.5%	5.4%	2.3%	4.4%	4.7%	4.4%
		AMS	%	0.2%	0.5%	0.8%	0.0%	0.7%	0.8%	0.5%
		Ads+AMS	%	5.6%	6.0%	6.2%	2.3%	5.1%	5.5%	4.9%
	KR vs CNCB	Ads	%	4.0%	2.6%	-1.6%	1.0%	0.4%	-0.8%	1.2%
		AMS	%	0.7%	0.7%	0.9%	0.3%	2.0%	-0.2%	0.5%
		Ads+AMS	%	4.8%	3.3%	-0.7%	1.3%	2.3%	-1.0%	1.7%
UE ($/net order)	KRCB	Ads	usd/order	2.13	1.74	0.88	1.74	0.77	0.80	1.38
		AMS	usd/order	0.21	0.25	0.39	0.14	0.43	0.13	0.25
		Ads+AMS	usd/order	2.34	2.00	1.27	1.87	1.20	0.92	1.62
	CNCB MP	Ads	usd/order	0.77	0.63	0.52	0.88	0.20	0.31	0.39
		AMS	usd/order	0.03	0.06	0.07	0.01	0.03	0.05	0.05
		Ads+AMS	usd/order	0.80	0.69	0.60	0.89	0.23	0.36	0.43
	KR vs CNCB	Ads	usd/order	1.36	1.12	0.36	0.85	0.58	0.49	0.99
		AMS	usd/order	0.18	0.19	0.31	0.13	0.40	0.08	0.20
		Ads+AMS	usd/order	1.54	1.31	0.67	0.98	0.97	0.56	1.19

Key Highlights:

From Takerate perspective,

1 Ads takerate lower than CNCB in TH/PH

2 True that AMS investment from KR sellers is higher CNCB, however, still cannot cover the Ads gap

From UE perspective,

3 Given higher ABS of KRCB, UE quite okay vs CNCB

Given the ABS has quite a big gap btw KR and CN, **it's unfair to compare directly,** so if we normalized with same ABS range, will KR ads takerate still consider as low?

>> see next page

In general, higher ABS correlates with a lower ad take rate for CNCB. If we normalize CN and KR to the same ABS range, TH should be our primary focus market

Table: CNCB Jul'25 Ads Takerate by ABS range

Metics	Market	CNCB							
		(0-1]	(1-2]	(2-3]	(3-4]	(4-5]	(5-10]	(10-20]	Total
Ads TR%	**Total**	7.3%	6.0%	5.9%	5.6%	5.4%	4.7%	3.7%	4.9%
	SG	1 29.9%	5.7%	4.0%	3.8%	3.8%	4.9%	4.6%	5.4%
	MY	21.8%	8.4%	6.1%	5.8%	5.7%	5.3%	4.4%	5.5%
	TW	15.9%	5.6%	3.2%	2.9%	2.5%	2.0%	1.5%	2.3%
	VN	4.9%	4.0%	4.3%	4.4%	4.7%	3.5%	2.6%	4.4%
	TH	15.0%	7.3%	6.8%	6.6%	6.3%	5.7%	4.4%	5.4%
	PH	7.0%	6.3%	6.1%	5.7%	5.3%	4.4%	3.5%	4.7%

Table: KRCB Ads takerate and AMS investment vs CNCB normalized(Jul'25)

Type	BU	Metrics	Unit	SG	MY	TH	TW	VN	PH	Total
Takerate%	KRCB	Ads	%	9.5%	8.1%	3.8%	3.3%	4.8%	3.9%	5.6%
		AMS	%	0.9%	1.2%	1.7%	0.3%	2.7%	0.6%	1.0%
		Ads+AMS	%	10.4%	9.3%	5.5%	3.6%	7.5%	4.6%	6.6%
	CNCB MP	Ads	%	6.3%	5.0%	4.7%	1.8%	4.2%	3.8%	3.8%
		AMS	%	0.2%	0.5%	0.8%	0.0%	0.7%	0.8%	0.5%
		Ads+AMS	%	6.5%	5.5%	5.5%	1.8%	4.9%	4.6%	4.3%
	KR vs CNCB	Ads	%	2 3.2%	3.1%	-0.9%	1.5%	0.7%	0.2%	1.8%
		AMS	%	0.7%	0.7%	0.9%	0.3%	2.0%	-0.2%	0.5%
		Ads+AMS	%	4.0%	3.8%	-0.1%	1.8%	2.6%	0.0%	2.2%
UE ($/net order)	KRCB	Ads	usd/order	2.13	1.74	0.88	1.74	0.77	0.80	1.38
		AMS	usd/order	0.21	0.25	0.39	0.14	0.43	0.13	0.25
		Ads+AMS	usd/order	2.34	2.00	1.27	1.87	1.20	0.92	1.62
	CNCB MP	Ads	usd/order	1.41	1.24	1.32	1.29	0.69	0.87	1.02
		AMS	usd/order	0.02	0.03	0.03	0.00	0.01	0.01	0.05
		Ads+AMS	usd/order	1.43	1.26	1.34	1.30	0.70	0.88	1.06
	KR vs CNCB	Ads	usd/order	0.72	0.51	-0.44	0.45	0.08	-0.07	0.36
		AMS	usd/order	0.19	0.23	0.36	0.13	0.42	0.11	0.20
		Ads+AMS	usd/order	0.91	0.73	-0.08	0.58	0.50	0.04	0.56

Key Highlights:

1. **In general,** higher ABS has lower takerate if we see CNCB, same trends aligned in KRCB

2. So, if we normalize CNCB to the same price range as KRCB, **TH should be the market to focus on**

Actions To take to improve on TH ads takerate (proactive investment), and expected to growth ads takerate by 0.4%

Jul'25 KRCB TH performance	Apr'25	Jul'25	Simulation a. add commission b. PRM refreshed	Simulation Refresh ads takerate
ABS	22.6	19.6	19.6	19.6
Revenue (%)	**14.8%**	**17.0%**	**19.1%**	**19.5%**
Commission Fee (%)	8.6%	9.7%	11.8%	11.8%
Base Commission (%)	*4.5%*	*5.1%*	*11.8%*	*11.8%*
Charged Services (%)	*4.1%*	*4.5%*	*0%*	*0%*
Paid Ads (%)	3.2%	3.8%	3.8%	4.2%
Marketing Packages (%)	0.0%	0.3%	0.3%	0.3%
Handling Fee (%)	2.9%	3.2%	3.2%	3.2%
PRM (%)	**14.4%**	**19.0%**	**17.4%**	**17.4%**
Item Rebate (%)	0.3%	0.2%	0.2%	0.2%
Logistics Rebate (%)	0.3%	1.4%	1.3%	1.3%
Voucher Rebate (%)	13.1%	16.7%	16.0%	16.0%
Coin Rebate (%)	0.7%	0.7%	0.7%	0.7%
Gross Transaction fee (%)	**1.4%**	**1.5%**	**1.5%**	**1.5%**
MP PC2 (%)	**-1.1%**	**-3.5%**	**0.2%**	**0.6%**
MP PC2	**-45,500**	**-118,079**	**6,689**	**20,000**
MP PC2+SLS P&L	**-37,170**	**-81,092**	**43,677**	**56,987**
KR MP PC2 + SLS P&L / order	**-0.24**	**-0.56**	**0.30**	**0.39**
Ref: CNCB MP PC2 + SLS P&L / order	**0.29**	**0.10**	**0.49**	**0.49**
KR vs CNCB Gap	**-0.53**	**-0.66**	**-0.19**	**-0.10**

Key Highlights:

1 Based on the simulation, Ads TR% can **hit up to 4.2%(+0.4%p) by targeting 4 USTs and 4 ST sellers**.

- If we succeed in persuading those sellers to match each tier's take-rate avg (USTs: 5.3% / STs: 4.2%) whose take-rate is less than the avg, we can hit 4.2%.

  * **USTs**: out of total 8, 3 already hitting more than 5.3%, 1 excluded since seller has no willingness
  * **STs**: out of total 14, 9 already hitting more than 4.2%, 1 excluded since seller has no willingness)

2d. Commercial - VN LFF Subsidy Program Target and RR

[Appendix] SHP KR LFF Subsidy Programs Recap

SHP KR LFF Subsidy Programs

Program Type	Commitment	Key Incentives	Program Start Date
1. License Subsidy program	SHP	Subsidize license fee for designated new SKUs	Apr 1
	Seller	3 inbounds of new SKUs and quantities as instructed by SHP	
		Paid ads top-up (100% of SHP subsidy amount)	
2. Line Haul Subsidy Program	SHP	Subsidize the line haul cost for sellers' 1st inbound	
	Seller	3 inbounds of new SKUs and quantities as instructed by SHP	
		Paid ads top-up (100% of SHP subsidy amount)	

By Dec, VN LFF subsidy programs aim to drive 3.2k 3PF ADO—48% of the VN Dec 3PF target through new SKU inbound

VN Subsidy Program ADO Target and Dec Projection

Metrics: ADO		Feb Actual	[A] Jul Actual	[B] Jul Target	[A/B] Jul RR%	[C] Dec Projection	[D] Dec Target	[C/D] Dec RR%
[1+2] All Sellers	**Total**	**1,891**	**2,260**	**3,500**	**65%**	**6,790**	**6,578**	**103%**
	--Line haul subsidized Inbound	0	142	1,609	9%	3,140	3,024	104%
	--License subsidized Inbound	0	0	60	0%	75	112	67%
	--Organic Inbound	1,891	2,118	1,831	116%	3,575	3,442	104%
[1] New Sellers (1st IB after Mar 31)	**Total**	**534**	**222**	**1,851**	**12%**	**3,696**	**3,478**	**106%**
	--Line haul subsidized Inbound	0	142	1,075	13%	2,138	2,019	106%
	--License subsidized Inbound	0	0	60	0%	75	112	67%
	--Organic Inbound	534	80	716	11%	1,483	1,346	110%
[2] Existing Sellers	**Total**	**1,357**	**2,038**	**1,649**	**124%**	**3,095**	**3,100**	**100%**
	--Line haul subsidized Inbound	0	0	534	0%	1,003	1,005	100%
	--License subsidized Inbound	0	0	0	-	0	0	-
	--Organic Inbound	1357	2038	1,115	183%	2,092	2,095	100%

Key Highlights

- **Program Objectives Recap:** Accelerate LFF onboarding & new SKU inbound via SHP subsidies (line haul & license). Sellers are required to inbound SHP SKU/qty instructions & match subsidy with ads credit top up.
- 1 **VN Dec Projection:** Expect +3.2k 3PF ADO with projected RR 2 103%. The target is higher for new sellers (3 +2.2k ADO) vs. existing (+1k; already ~85% 3PF). Jul RR low for both programs due to long lead time for new SKU inbound (~4-5 months from license registration start but expect RR to pick up starting Aug-Sep)
- **Findings:** Sellers prefer the line haul program as it is ~1.4x more cost efficient than the license subsidy (Yearly USD 9k cap for all new SKUs with ADI >0.5 vs. USD 100 per SKU, respectively). Regardless of choice, both programs address sellers' main concern—hesitation to invest low ADI SKUs

2e. Operational - LFF OOS and Plans

[LFF OOS] We aim to lower KR OOS by 4%p (449 ADO) by extending RVP sellers' 1:1 OOS program to To 10 Non-RVP Sellers

Table 1. Aug-Dec OOS ADO Impact from Program

>> As Is *>>To Be*

	Jul								Aug~Dec Avg						Aug~Dec Avg						
	ALL KR		*RVP			Treatment Seller Group			ALL KR		*RVP		Treatment Seller Group		ALL KR		RVP		Treatment Seller Group		OOS ADO Prevented (Projected)
	OOS%	[A] OOS ADO	OOS%	[B] OOS ADO	[B/A] OOS% to Total OOS	OOS%	[C] OOS ADO	[C/A] OOS% to Total OOS	OOS%	OOS ADO	OOS%	OOS ADO	OOS%	OOS ADO	OOS%	OOS ADO	OOS%	OOS ADO	OOS%	OOS ADO	OOS ADO
Total	9%	1,052	4%	277	26%	23%	506	2 48%	9%	1,257	3 4%	329	1 23%	605	5%	758	4%	329	4%	106	4 499
MY	6%	206	3%	86	42%	15%	55	26%	6%	236	3%	98	15%	62	4%	186	3%	98	3%	13	50
PH	13%	324	5%	80	25%	40%	210	65%	13%	387	5%	95	40%	251	5%	166	5%	95	5%	29	221
SG	9%	344	4%	83	24%	18%	136	40%	9%	429	4%	104	18%	170	6%	301	4%	104	4%	41	128
TH	10%	177	4%	27	15%	21%	105	60%	10%	205	4%	32	21%	122	5%	106	4%	32	4%	23	99

Key Highlights

- Some top KR LFF sellers still have high OOS (1 avg 23%) despite RM push and system alerts. The team will focus on the top 10 non-RVP sellers (treatment seller group) with high LFF ADO and high OOS (2 48% contribution to KR total OOS) and apply the proven RVP seller's 1:1 OOS push program which includes 1) reminder to sellers to inbound SKUs with <15 coverage day pre-OOS with suggested replenishment quantity 3 (avg OOS 4%)
- Impact: Expected to prevent 4 ~499 OOS ADOs (Aug–Dec avg) and cut KR OOS% from 9% to 5%.

Note: OOS data only includes FBS sellers in SG/MY/TH/PH

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2f. Operational - License Exclusivity (Vs .TT) in all markets

[Appendix: License Program SKU Exclusivity] 38 SKUs Received SHP License Subsidy and 100% agreed to 6 month exclusivity from 1st inbound date

Table 1. License Subsidy New LFF SKUs (Enforce SKU Level Exclusivity - 6 mths)

	# Participating Shop	# Participating New SKUs	# of SHP Exclusive New SKUs	SHP Exclusive SKU%	LFF ADO of SKUs	SLS ADO of SKUs
Total	**3**	**38**	**38**	**100%**	**0**	**225**
MY	-	-	-	-		
PH	-	-	-	-		
SG	-	-	-	-		
TH	-	-	-	-		
VN	3	38	38	100%	0	225

Table 2. Line Haul Subsidy New LFF SKUs (No Enforcement of SKU Level Exclusivity)

	# Participating Shop	# Participating New SKUs	# of SHP Exclusive New SKUs	SHP Exclusive SKU%	LFF ADO of SKUs	SLS ADO of SKUs
Total	**21**	**587**	**490**	**83%**	**405**	**503**
MY	8	110	106	96%	68	28
PH	3	196	156	80%	139	44
SG	3	30	30	100%	12	19
TH	2	128	123	96%	7	72
VN	5	123	75	61%	179	340

Key Highlights

- **Background:** SHP enforces exclusivity to SHP on SKU level for 6 months from 1st inbound for SKUs that received license subsidy
- **Results:**
  - License Subsidy Program: As of current, 3 new LFF shops and 38 new LFF SKUs are in progress of 1st inbound, all SKUs agreed to 6 month exclusivity (progress to be monitored)
  - Line Haul Subsidy Program (for reference) As of current, 21 new LFF shops and 587 new LFF SKUs inbounded and 83% of SKUs are exclusive but SHP exclusivity not enforced but monitored)

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-EOD-
Thank you!